

stock. It is no different for *any* asset class: Concentrated positions hold lots of upside potential as well as lots of downside risk. The question you must always consider is: “Toward what end am I adding additional risk to my portfolio?”

- **Investment by forecasting:** Inherent in *any* concentrated bet is a forecast: At some point in the not-too-distant future, THIS asset will be higher than THAT asset. Whether that comes to pass or not, it is what any concentrated position represents. Market history teaches us that making bets based on forecasts is an unrewarding way to deploy capital. We as a species simply lack the ability to see what the future will hold. Humans are terrible at making these sorts of guesses, as we know little about today and even less about tomorrow.
- **Overvalued stock markets crash:** Again, a forecast, and a fairly extreme one. Hardly the basis for making a multibillion-dollar capital allocation. It also reflects a misunderstanding of one’s own abilities to time the market based on valuations. Markets have spent most of the past 30 years, except for immediately after the huge crashes of 2000 and 2008, as overvalued. There is little in the market data to suggest people can effectively time their investments, using valuation or any other basis.
- **Forecasting track record:** Always ask yourself: Has the forecaster generated above-average market returns based on their predictions? If they have, is it because of their skill, or was it merely random luck? Most forecasts reflect emotions and wishful thinking. They are *not* the stuff of a good investing process.
- **Already in the price:** People seem to misunderstand what is already known and therefore reflected in market prices. A perfect example is the gold bug²⁶⁵ tendency to cite the cultural significances of gold in societies like China and India. They are absolutely correct: In those countries, gold acts as a status symbol, a store of wealth, and a